

Article | 23 July 2026

FX

Sterling's rally is not built to last

Sterling's rally has been driven more by positioning, carry and potentially some M&A flows than by a lasting improvement in UK fundamentals. With UK short-dated rates likely to drift lower and fiscal risks set to return ahead of the autumn, we expect sterling to hand back recent gains. Our central view remains for EUR/GBP to rise towards 0.88 by year-end



We expect sterling's strength to reverse as we see positioning, carry and M&A flows driving the rally rather than fundamentals

Not driven by a UK re-rating

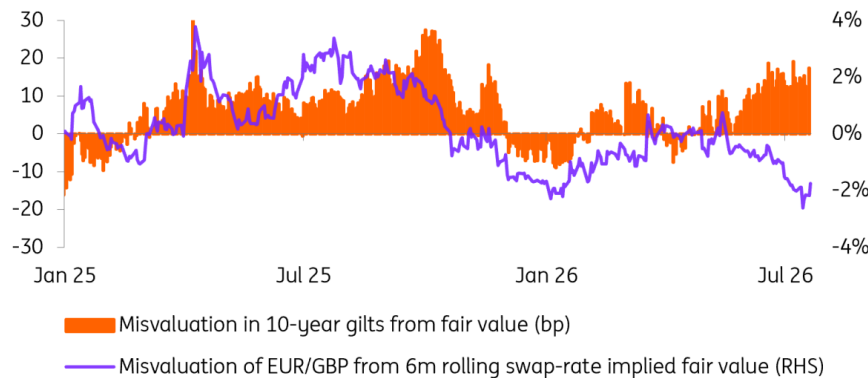
Sterling has had a pretty good summer so far. Even though it is off recent highs, sterling has still managed to rally about 2% against the euro over the last month and has generally performed well against a strong dollar.

Normally, a sustained rally in sterling would be driven by some good news – be it on growth, relative rate differentials, fiscal improvements or just capital inflows. It's hard to pick out anything concrete here, but justifying sterling's rally on a perceived fiscal improvement – for example, Andy Burnham's choice of chancellor – looks wide of the mark.

Below we show a relationship between the UK risk premium embedded in the gilt market versus that embedded in the FX market. Through 2025, both 10yr gilt yields and EUR/GBP

traded above levels normally associated with common financial variables. While that risk premium has remained in gilts for most of 2026, it has evaporated in sterling. As a result, this sterling rally is not a classic re-rating story.

Risk premium remains in gilts, not sterling



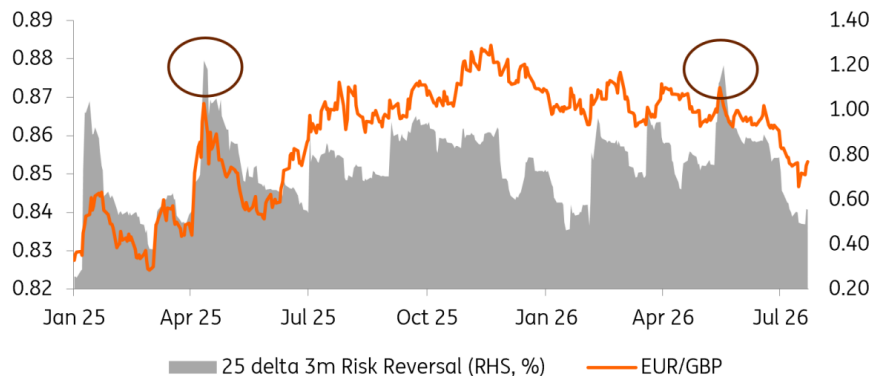
Source: ING, Refinitiv

Positioning explains more than fundamentals

A better explanation of the sterling rally – one which appeals to us much more – is the combination of a short squeeze and some one-off flows. On the former, it looked like speculators had turned exceptionally bearish on sterling ahead of UK local elections in early May on the (correct) assumption that poor results would spell the end of Prime Minister Keir Starmer's premiership. That bearish sterling sentiment can best be seen in the FX options market, where the risk reversal – the cost of buying a EUR/GBP call over an equivalent put option – rose to the most expensive levels seen since April 2025. That was when global financial markets were in turmoil after President Donald Trump's 'Liberation Day' tariffs.

Sterling failed to sell off in the immediate aftermath of those election results, and we suspect a combination of sterling's relative high risk-adjusted yields in quiet summer markets and potentially some large one-off sterling buying flows caught the market exceptionally short. In terms of those flows, there has been speculation that M&A activity could be in play.

EUR/GBP versus three month risk reversal



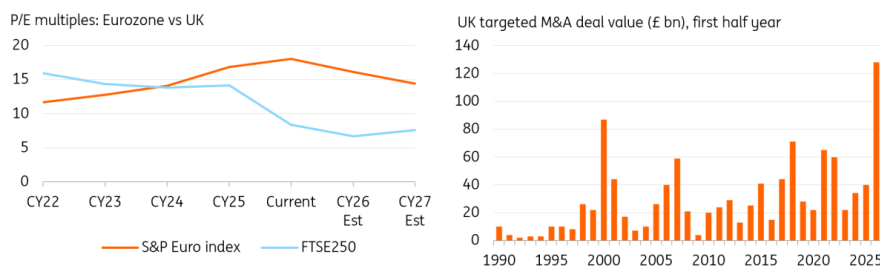
Source: Refinitiv, ING

The M&A story is probably being overstated

Connecting M&A activity with currency moves is typically a thankless task – particularly when this cross-border activity can be FX-hedged, can be spread over many months and can be locally funded. Yet the available data does suggest there has been a huge pick-up in UK targeted M&A flows this year on the view that UK corporates are cheap.

Current price earnings multiples for the FTSE 250 trade at a steep discount to the S&P Euro index (around 180 names) and announced UK inbound inflows are running at record highs. Announced flows into the UK dwarf anything seen in continental Europe, with UK deals focusing on Financials (Schroders, Beazley, Allfunds Group), Consumer Staples (Food assets/Unilever) and Industrials (Intertek, Rotork).

UK versus eurozone P/E multiples and UK M&A inflows

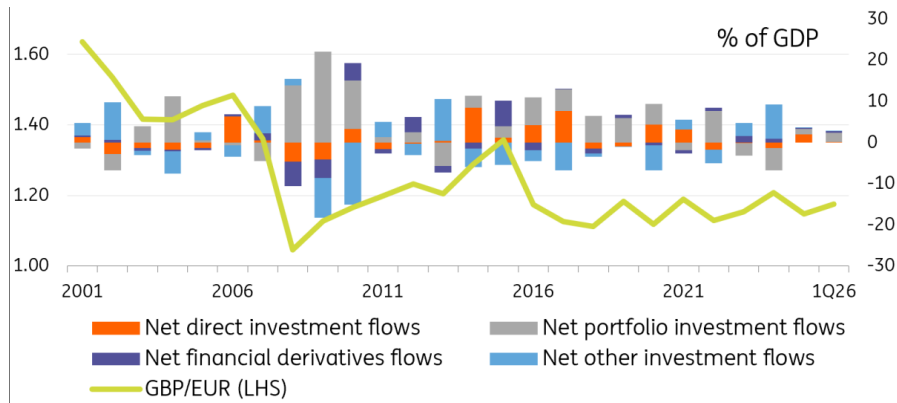


Source: LSEG, ING calculations

Pending and completed deals for UK companies this year add up to a staggering £220bn on some measures. But what we would say is that, over the last 25 years, net portfolio flows have on average been nearly five times larger than net direct investment flows. This can be seen below when looking at financial account flows as a % of GDP.

While M&A flows may occasionally grab the headlines in currency markets, they rarely drive sustained moves in currencies.

UK net investment and portfolio flows versus GBP/EUR



Source: UK Office for National Statistics, Refinitiv

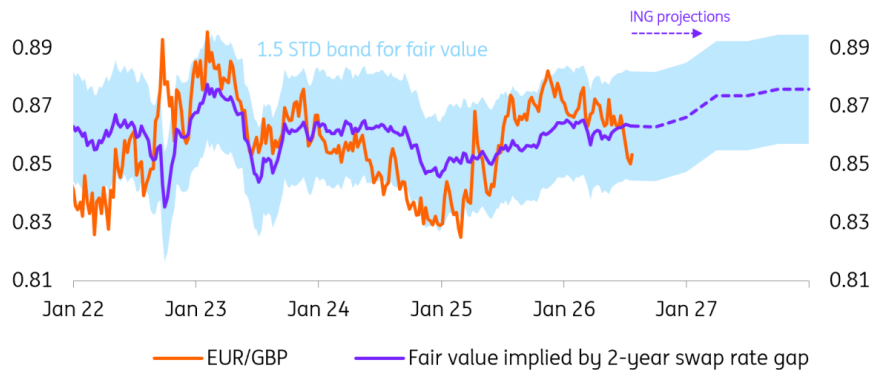
The real driver ahead is the Bank of England

What typically explains currencies is relative growth trends and what they mean for the monetary and fiscal mix. Coming back to basics, EUR/GBP has lacked a sustained trend since 2022, but interest rate implied fair value has consistently acted as an anchor around 0.86. The fair-value estimate is derived from a 10-year weekly relationship between EUR/GBP and the EUR:GBP 2Y swap spread, providing a stable benchmark against which to assess valuation. As shown in the chart below, periods of substantial over- and undervaluation have typically reversed over time.

The pair currently sits close to the lower edge of the 1.5-standard-deviation valuation band, suggesting limited downside potential barring a substantial swing in short-term differentials in favour of the pound. On the contrary, our swap rate forecasts imply a gradual rise in EUR/GBP fair value over the coming years. That is based on the house view that UK inflation looks, barring a much larger energy surge, unlikely to challenge the 4% area – the 4% threshold seen as the trigger for a Bank of England hike. An unchanged UK policy rate and one further European Central Bank hike to 2.50% is our house call over the next six to nine months.

Our call on rate spreads suggests EUR/GBP should trade higher from here. But what about the fiscal story? Could there be any surprises there?

Short-term rate differential is the medium-term anchor for EUR/GBP



Source: ING, Refinitiv

Tight fiscal arithmetic becomes harder to ignore

Like much of Europe, there are plenty of reasons to be downbeat about the UK's public finances. Spending pressures are growing – from defence to health and social care. Debt interest costs are high and rising, not helped by Britain's large stock of index-linked bonds and increasing reliance on foreign investors (particularly hedge funds). The tax burden may be the highest in decades, but spending has risen more significantly as a share of GDP since 2019. And tax on wages – income tax and social security – is among the lowest in Europe as a share of average labour costs.

That said, the UK is also a rare example of a country undergoing some meaningful fiscal consolidation. Since 2021, the tax thresholds have been frozen in cash terms. And subsequent waves of inflation have dragged more and more people into higher tax brackets, increasing tax revenues as a share of GDP. This fiscal drag is planned to continue over the remainder of this decade. And it's a key reason why gilt issuance is falling significantly – from £303bn in FY2025 to £246bn in the current fiscal year.

In short, there's a more positive near-term public finance story even if longer-term, it's hard to see how borrowing doesn't increase over and above current budget plans.

Over recent weeks, investors had become more relaxed about Burnham's appointment, following his commitment to stick to the existing fiscal rules. In theory, that precludes a stimulus package this autumn that would either materially increase gilt issuance or change the calculus for the BoE. But Burnham's recent openness to bigger changes – including lifting the tax-free allowance and greater funding for social care – means a bolder budget can't be ruled out. Investors will be particularly sensitive to any headlines on tweaks to the fiscal rules in the run-up to Burnham's first budget this October or November.

Sterling to hand back gains

Sterling's summer rally has come as a surprise to most, but it looks to be built on weak foundations. Into the autumn, we expect UK short-dated rates will be coming lower and the UK's fiscal position will again be under scrutiny. That means EUR/GBP doesn't need to spend too long down at these levels near 0.85 and we remain comfortable with our call for a move to 0.88 by year-end and a push to 0.90 in 2027. And based on our view that the Fed does not tighten in this cycle and the dollar softens, GBP/USD should continue to trace out a 1.32-1.36 range.

ING's forecasts for GBP

	2026		2027			
	Q3	Q4	Q1	Q2	Q3	Q4
EUR/GBP	0.87	0.88	0.89	0.90	0.90	0.90
GBP/USD	1.34	1.34	1.33	1.33	1.34	1.36

Source: ING

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Article | 22 July 2026

TRADE UNITED STATES

A new round of tariff woes: disturbing but not disruptive (for now)

Just when it seemed the summer break was within reach, a new round of trade tensions is already looming. August is increasingly shaping up to be another summer month dominated by trade disputes and tariff headlines



The last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation.

Trade tensions are back. While markets have been focusing on the war in the Middle East and the renewed rise in energy prices, the last two weeks have again been very busy on trade and tariffs, even by the standards of last year. Here is the latest state of play:

- Canada gets hit hardest. On 20 July, US President Donald Trump signed three proclamations imposing 50% tariffs on Canadian goods under Section 338, citing discriminatory treatment of US exports, effective 19 August, with carve-outs for energy, potash, critical minerals, fish, and goods already under Section 232. Section 338 (which dates from the Smoot-Hawley era in the 1930s) is a new legal frontier and, so far, has been untested in court.
- The new tariffs on Canadian imports are another sign that the North American trade

pact is now formally on its way out. Trump's decision not to extend the United States-Mexico-Canada Agreement on 1 July triggered a 10-year wind-down process. That mechanism is doing exactly what it was designed to do: create negotiating leverage. This week, US and Mexican officials launched a third round of bilateral talks in Mexico City, focusing on technical issues related to steel, aluminium, automobiles and labour standards. For now, it appears that Washington is seeking to negotiate a bilateral successor agreement with Mexico while increasingly treating Canada as an adversary.

- There are also clear efforts to respond to the Supreme Court's February ruling that struck down tariffs imposed under the International Emergency Economic Powers Act (IEEPA). The administration's emergency fix was to invoke Section 122 of the Trade Act of 1974: a temporary balance-of-payments surcharge that Congress capped at 15% and limited to 150 days. As a result, it will automatically expire at 12:01 a.m. on 24 July, exactly 150 days after it came into effect.
- That was always scaffolding, never the building. The permanent replacement began to take shape on 12 March, when the US Trade Representative launched Section 301 investigations into forced labour as part of an explicit strategy to rebuild the tariffs struck down by the Supreme Court. The Section 301 action covers roughly 60 economies – about 99% of US import value – in two tiers: 10% tariffs on 14 economies including the EU, UK, Canada and Mexico, and 12.5% on 46 others, including China, Vietnam, India and Japan. Unlike Section 122, Section 301 has no statutory rate cap and no built-in expiry date. These tariff rates are probably low enough for most US trading partners not to oppose them. The European Commission, for example, has already signalled that these duties are unjustified but that it would accept them as long as they stay under the 15% Turnberry cap. Pragmatism dressed as principle, or principle dressed as pragmatism?
- There has been trade policy as theatre, with NATO as the stage. Trade policy has also become political theatre, with NATO serving as the stage. At the NATO summit on 8 July, Trump said he wanted to “cut off all trade with Spain, including visits”, describing the country as “a terrible partner in NATO” that neither contributes nor pays its fair share. Why does this mainly fall under the label ‘theatre’? Well first, trade policy is an exclusive EU competence and there is no legal instrument for tariffing one member state out of the single market. Anything targeting “Spanish” goods would hit EU goods and collide head-on with the Turnberry framework the US government itself signed. Second, the arithmetic argues against it: the US runs a goods surplus with Spain (roughly \$26 billion in exports against \$21 billion in imports), so an embargo would hurt American exporters more than Spanish ones. And third, the threat already served its purpose: within a day, Trump claimed Spain had “come back all the way” and agreed to pay more after the embargo threat. Whether Madrid actually conceded anything is disputed, but the pattern is the recognisable one: maximal threat, declared victory, quiet de-escalation.

New tariff woes: disturbing but not disruptive

All of these developments suggest that trade policy is once again moving to the forefront of market attention. However, maybe even more so than last year, the headlines are proving more disruptive than the reality. Admittedly, this latest bout of tariff brinkmanship comes at a time when the global economy is in a weaker position than it was on Liberation Day, not least because of higher energy prices. At the same time, however, the last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation. The world has also adjusted to at least some degree of higher trade barriers. As a result, while a fresh round of tariff threats may disrupt the summer lull, it's unlikely to have the same disruptive power as it did last year. For Europe, at least, the drought and exceptionally low water levels in key waterways may ultimately prove more disruptive than the latest tariff woes.

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Article | 21 July 2026

Webinar: What if... Oil surges back to \$120/bbl?

How bad could it get for energy markets? And what does the spike in oil and natural gas prices mean for Europe's economy and the ECB? Join us on Thursday for the first episode of **What if?** – a new summer webinar series hosted by James Smith exploring what could turn today's market consensus on its head. [Sign up now](#)



A US Military helicopter flies over the Strait of Hormuz, where tensions have escalated over recent days

Oil prices are on the rise as the US-Iran war enters a dangerous new phase and flows through the Strait of Hormuz grind to a renewed halt. So just how bad could it get for energy markets? And what does the spike in oil and natural gas prices mean for Europe's economy and the ECB?

Join ING's economists and strategists for the first episode of **What if?** – a new summer webinar series hosted by James Smith exploring what could turn today's market consensus on its head.

You'll learn:

- ING's base case for oil prices – plus what it would take for crude to go back to its previous 2026 highs or even higher.
- The major drivers of prices, from strategic reserves to Chinese demand.
- Why natural gas prices are rising and how bad it could get.
- The impact of the crisis so far on the eurozone economy.
- Whether the ECB can really hike twice more as markets now expect.

[Sign up here](#)

Details

Date: Thursday 23 July

Time: 09:30 BST/10:30 CEST/16:30 SGT

The webinar will last 30 minutes, including a Q&A session at the end.

The event will take place online, and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

By registering for this event, you'll be signed up to future webinars in this series. You can unsubscribe at any time.

Speakers

- **James Smith** (Developed Markets Economist)
- **Warren Patterson** (Head of Commodities Strategy)
- **Bert Colijn** (Chief Economist, Netherlands)

Next up:

What if... The Fed cuts rates by next summer?

Thursday 6 August
15:00 CEST



What if?

A new summer webinar series exploring what could turn today's market consensus on its head. Brought to you by ING Global Research.



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Article | 21 July 2026

FX RATES

July ECB Cheat Sheet: No lull in sight

We expect the ECB to hold rates steady on Thursday. But what was meant to be a quiet meeting may evolve into a hawk-dove tug-of-war. Against the backdrop of renewed escalation in Iran, we think the policy message should focus on preserving market pricing, with hints of a September hike. Still, rates and FX are likely to take their lead from the oil market



The European Central Bank, led by Christine Lagarde, is likely to keep rates on hold at the July meeting.

This is our market preview of June's ECB meeting; you can find our macro team's preview [here](#).

The European Central Bank is likely to leave rates unchanged on 23 July. Consensus is unanimous and markets are pricing less than a 5% chance of a hike. That fits the natural progression from June's hike, which was largely driven by higher energy prices, and felt more like an 'insurance' move than the start of a tightening cycle. Still, the stream of geopolitical and energy-market headlines since then means that a surprise hike should not be fully ruled out, in our view.

Among the more realistic hold scenarios, our baseline remains hawkish-leaning. Without

updated economic projections, the communication will have to do the heavy lifting. We expect the hawkish wing of the governing council to remain more dominant, keeping market pricing skewed towards one or two rate hikes by year-end and limiting the risk of inflation expectations becoming de-anchored.

That may require signalling that a September hike remains the base case. Such a message is unlikely to feature in the cautious statement or press conference, but could well surface via the now familiar post-meeting media leak.

Scenario analysis: How to position for Lagarde's alternatives

	 Inflation outlook	 Growth outlook	 Interest rates		
Current stance	Upside risks due to higher energy prices, second-round effects possible	Risks tilted to the downside, especially in the near term, due to the Middle East war	Depo rate at 2.25%. Data-dependent, meeting-by-meeting approach	EUR/USD (1.140)	10Y Bund (3.10%)
Dovish	Recent easing in energy prices has reduced the risk of persistent inflation	Downside risks for growth have increased, should linger even after peace	Hold. Must be careful not to overtighten – implicit hints June was 'one and done'	1.130	3.05%
Neutral	Reiterating June views. Too early for any second-round effects. Risks still on upside	Risks still to the downside, but did not increase any further since June	Hold. Not giving any new guidance. Reiterating wide optionality on rates	1.137	3.10%
Hawkish ING base-case	Latest re-escalation is bringing fresh upside risks to inflation	While downside risks persist, a variety of indicators have improved	Hold. Implicitly signalling another rate hike is the baseline scenario	1.140	3.15%
Very hawkish	Inflation impact likely to be bigger than initially thought, requiring immediate action	Explicitly prepared to accept growth impact to prevent a repeat of inflationary crisis	25bp hike. Retaining optionality to hike further, but staying data-dependent	1.150	3.20%

Source: ING

Rates: Oil back in the driving seat

Rates are following the same playbook as at the start of the Iran conflict, with a jump in oil prices immediately reflected in tighter monetary policy expectations. A September hike is almost fully priced in and, unless oil prices ease before that meeting, we doubt markets will change their mind. The ECB probably has more influence over the market pricing thereafter, where the path of future hikes is less clear.

But even if the ECB decides to turn very hawkish at this week's meeting and hikes by 25bp, we doubt rates have much upside. If framed correctly, such a move would likely be interpreted more as a frontloading of the September hike. In addition, a hawkish policy surprise would likely weigh on longer-dated inflation expectations, limiting the upside of longer-dated rates.

A key difference compared to a few months ago is that real rates are much higher now. Higher real rates also explain why the 2Y euro swap rate has hit new highs despite Brent oil still trading well below \$100. The higher real rates are driven by a recovering growth outlook and a more hawkish assessment of central bank policy, both factors arguably amplified by US dynamics. In particular, a less dovish-than-feared Federal Reserve Chair Kevin Warsh has turned global market sentiment more hawkish. So, unless the ECB expresses a significantly

more pessimistic view on the economic outlook or explicitly communicates a more dovish reaction function, we think real rates can continue to stay elevated.

FX: Hawkish ECB is necessary but not sufficient for EUR resilience

The EUR:USD two-year swap rate differential has tightened by around 25bp since the early-July military re-escalation in the Gulf. This mirrors the move seen in March and suggests that markets believe the ECB has greater scope to adopt a more hawkish stance than the Fed, given its lower starting level of rates.

But even at the peak of this spring's oil rally, markets proved reluctant to price the ECB depo rate above 2.75% by year-end. Pricing is currently 2.65%, suggesting that further oil rallies may provide diminishing support for EUR/USD through the front-end rates channel and exert greater pressure via the energy/risk sentiment story.

Given how much EUR/USD has relied on the tighter rate differential to stay resilient in spite of Gulf headlines, a hawkish-leaning ECB remains a necessary condition for the pair to stay above 1.140. Still, we doubt it will be sufficient, and a retest of the June low of 1.133 remains a near-term risk.

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Article | 20 July 2026

COMMODITIES, FOOD & AGRI

El Niño casts a shadow over agri markets, but global food fears may be overblown

Forecasts point to a strong El Niño event at the end of 2026, raising fears over food supplies and prices. While we believe these fears are overstated at the global level, El Niño poses a more significant regional risk to agricultural output, particularly in Asia-Pacific, meaning food and agribusinesses should prepare for potential disruptions



A farmer in Manila, the Philippines. The impact of El Niño on global agricultural output is fairly limited, but Asia-Pacific is more exposed

El Niño at a glance

- El Niño is only one factor shaping commodity prices
- APAC among the most exposed regions
- Asian aquaculture is already feeling the impact
- The Indian monsoon season has got off to a slow start
- Forest fires, river water levels and rain onset data provide early warning signals
- El Niño can cause large production swings at the national level

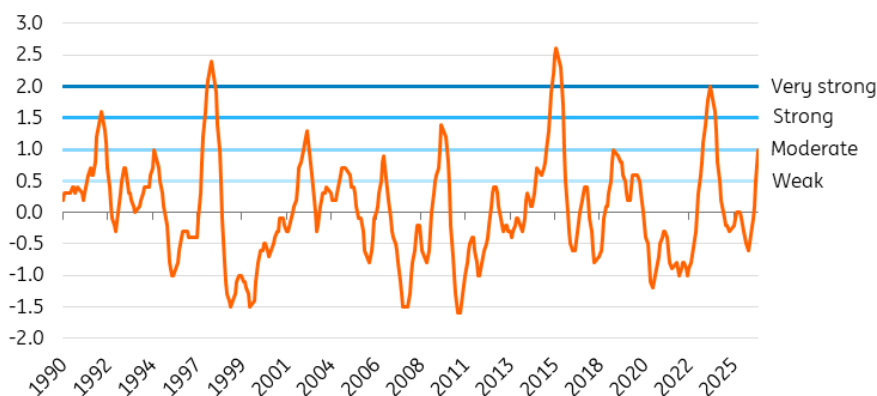
- At the company level, we'll see both short-term pain and short-term gain

Hola, El Niño! What happens when Hormuz and El Niño meet?

Global agricultural markets are still dealing with the impact of the disruptions to energy and fertiliser flows through the Strait of Hormuz. And as [recent developments highlight](#), this risk is still very present. However, a new risk is building for agri markets, which has the potential to ripple through to the broader food and agricultural sector, and ultimately the global economy, in the form of food inflation. This risk is El Niño, which is now upon us, and forecasts are growing for a very strong event by year-end.

2026/27 El Niño has been gaining strength

Oceanic Niño Index with threshold levels, three-month running average up until June 2026

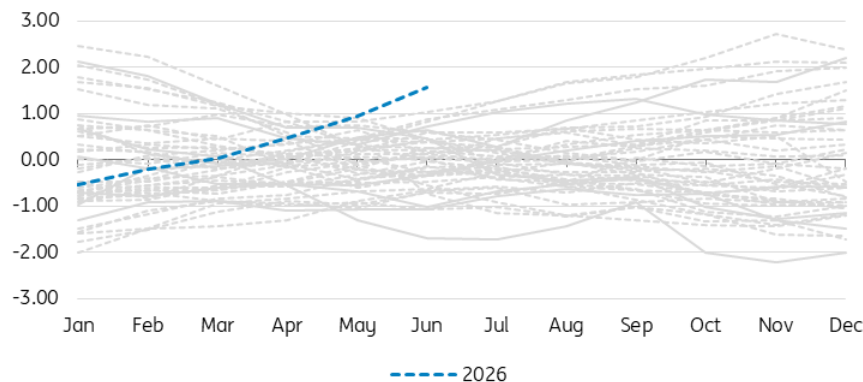


Source: NOAA, ING Research

Data from the National Oceanic and Atmospheric Administration, a leading US agency, shows that sea surface temperatures in a certain part of the Pacific Ocean (which provides a good indication of El Niño conditions) continue to rise, with an anomaly of +1.5 degrees Celsius in June, and this is expected to rise further through year-end. This is the highest reading for June going as far back as 1982. NOAA forecasts that there is a 97% chance that these conditions will continue through early 2027, and an 81% chance of a very strong El Niño during October to December of this year, placing it among the strongest on record since the 1950s.

Sea surface temperatures in El Niño region in June above historical levels

Monthly sea surface temperature anomalies in the El Niño 3.4 region, 1982–2026



Source: NOAA, ING Research

A realistic view: the impact of El Niño on global agricultural output is fairly limited

This all sounds very alarming, and hardly a day goes by when you don't read about impending declines in agricultural output and higher spikes in food prices. Fearmongering generates clicks, and, of course, El Niño can have a significant impact on certain regions and crops, but it can also be beneficial to other regions and crops, [including soybeans](#). Clearly, the big caveat is that no two El Niño episodes are the same, so there is always a higher degree of uncertainty and risk.

However, if we look at agricultural output for some key crops through moderate to very strong El Niño events in the past, the impact on global agricultural output has been [fairly limited](#). Admittedly, the 2015/16 El Niño event did have a broad-based impact on key agricultural commodity output. But again, on the whole, not alarming.

Technology has also made El Niño less disruptive to agricultural output than it was 30–40 years ago. Wider irrigation coverage helps reduce water stress for crops. In 1980, farmers had equipped around 11% of cultivated area for irrigation; by 2023, that share had doubled to 22%. They also used irrigation more intensively: the share of equipped area actually irrigated rose from around 65% in 1980 to almost 83% in 2023.

Seed technology has advanced as well, improving drought tolerance in some crops. Satellite technology has also strengthened crop monitoring, giving producers and buyers better visibility on emerging stress.

Finally, let's not forget that Brazil has become an agri powerhouse over the last 20–30 years,

and El Niño can be beneficial for many crops in South America. However, the risk around this comes down to concerns over fertiliser availability, particularly given the re-escalation of tension in the Middle East.

Looking at global agri output changes for some key crops during El Niño periods does not scream crop shortages. That said, the effects on some perennial crops, such as palm oil and sugar cane, can become more apparent in subsequent years.

Upward and downward shifts in global crop output during El Niño periods

Output change (YoY %) for key agri commodities during last five moderate to very strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Corn	-3%	0%	3%	-4%	6%
Wheat	5%	-2%	0%	1%	0%
Soybeans	20%	6%	23%	-2%	5%
Rice	2%	-5%	-2%	-1%	1%
Palm oil	-4%	9%	4%	-5%	-1%
Sugar	1%	11%	7%	-7%	0%
Coffee	-6%	14%	-5%	-1%	3%
Cocoa	-1%	10%	1%	-6%	-13%

Source: USDA, ING Research

El Niño is only one of many factors shaping commodity prices

The story does not end with supply. At the end of the day, consumers and governments care about food prices. Yet a look at the UN FAO Food Price Index across past El Niño episodes does not point to a clear pattern of rising prices. In fact, during several of these events, the index actually declined.

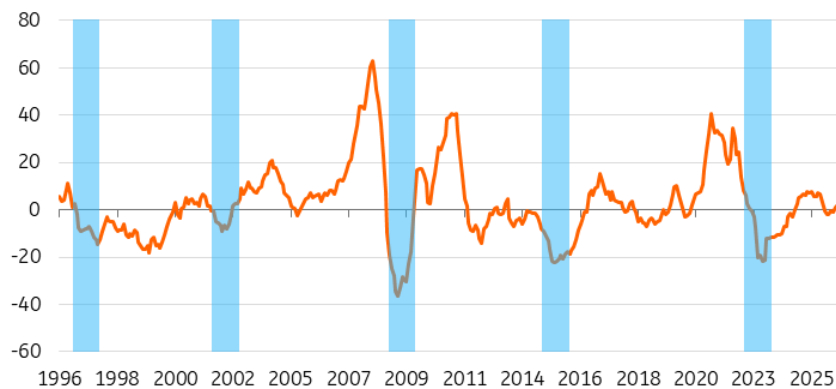
The biggest increase during recent El Niño periods occurred during 2009 and 2010. However, this move was part of a broader recovery in commodity prices with Chinese stimulus and the global rebound following the financial crisis. It would be unfair to attribute this rise in prices to El Niño. Similarly, recent significant spikes seen in the FAO food index have generally been driven [by factors other than El Niño](#), including demand shocks and tight inventories. So, while it is prudent to be alert to the risks relating to supply and prices, particularly with forecasts for a very strong El Niño this year, we would caution against assuming that the global outlook is bleak.

Adding another layer of reassurance to markets will be the fact that grain inventories are very comfortable, providing a buffer against potential supply shocks. However, in a scenario where

inventories are drawn on heavily, markets will be left relatively tighter post-El Niño.

Recent spikes in food commodity prices outside El Niño events

Year-on-year change in FAO food price index with moderate to strong El Niño periods highlighted



Source: United Nations FAO, ING Research

A deep dive into Asia Pacific: one of the most exposed regions

While global food and agricultural production should remain broadly resilient, there will of course be regional variances and localised impacts. The [Asia-Pacific](#) region has historically borne more of the brunt of El Niño, with parts of South and Southeast Asia, as well as northeastern Australia, experiencing drier than usual weather conditions. There is a significant probability that weather disruptions will intensify during the second half of 2026, compounding what has already been one of the hottest periods on record for many countries in the region. That combination poses risks for various crops, including Australian wheat, Indonesian and Malaysian palm oil, Thai and Indian sugar production, as well as rice output across parts of the region.

Asian aquaculture is already feeling the impact...

The potential impact on crops is receiving most of the attention. But one industry that's [heavily concentrated in Asia](#) and is already exposed is aquaculture. Catch restrictions on Peruvian anchovy due to El Niño have led to [a more than 75%](#) year-on-year increase in fishmeal prices, also because Peru is a leading producer of this essential ingredient for fish and shrimp feed. For farmers and aquaculture companies across Asia, that's concerning given that feed is their largest cost component (typically 55% to 65% of total farm expenses).

...meanwhile the Indian monsoon season has got off to a slow start

The Indian monsoon offers another important warning signal for possible El Niño weather patterns. Running from June to September, the season has got off to a slow start, and the Indian government has forecast rainfall at just 90% of the long-term average for 1971–2000. Although rainfall has since moved closer to normal levels, it still stands 24% below normal so far this season. This gap could narrow over the rest of the monsoon, but alarm bells are already ringing. Some agri markets could face additional pressure if concerns over domestic food availability push the Indian government to impose export restrictions. The government has done this before and earlier this year banned sugar exports at least until the end of September 2026.

Forest fires, river water levels and rain onset data provide early warning signals

While other supply chains across APAC don't have the same exposure yet, fish feed prices and the Indian monsoon act as the proverbial canary in the coalmine because they offer an early indication of what may follow. So, what other signals might provide a glimpse of what's to come? At first sight, real-time data on forest fires in Indonesia, water levels in the Mekong River, and the latest forecasts for the onset of the northern Australian wet season appear unrelated. But taken together, these indicators offer an early warning of where El Niño could begin to disrupt agricultural supply chains across the Asia-Pacific region next.

El Niño can cause large production swings at the national level

Output data for key agricultural commodities across APAC confirms that the region tends to be more vulnerable to El Niño, particularly during strong episodes. Looking at the region in aggregate masks strong crop declines at the country and crop level. For example, Australian wheat output often comes under pressure during El Niño periods, even during weaker episodes. And the declines can be very sharp. In 2002/03, Australian wheat output fell by 58% YoY, while during the most recent El Niño in 2023/24, production declined by 36% YoY.

Very strong El Niño in 2015/16 coincided with a drop in crop production in APAC

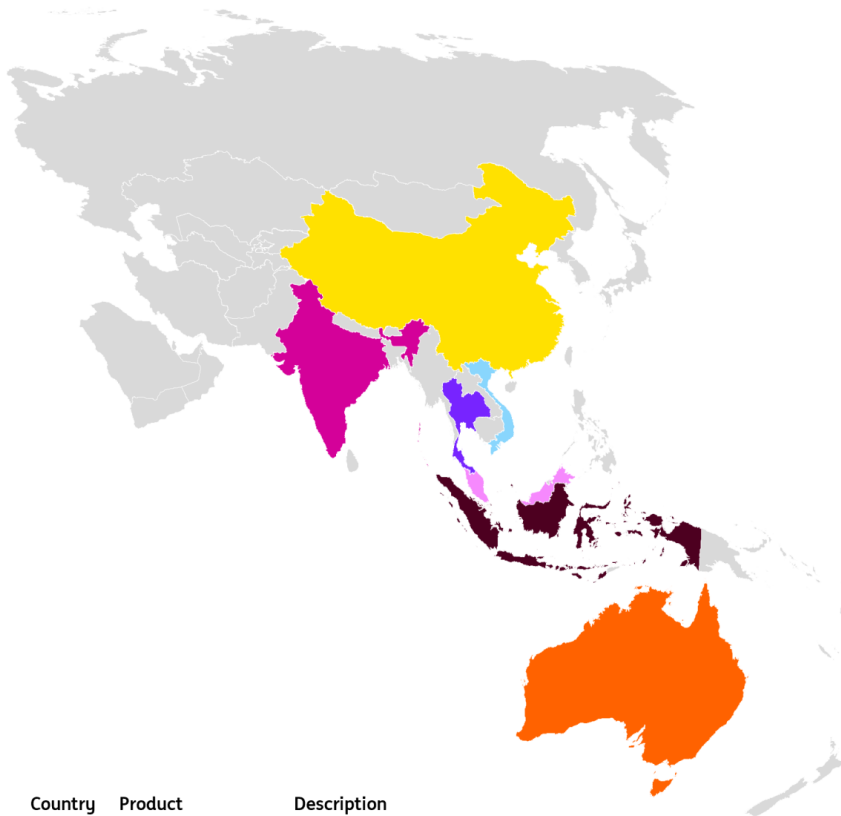
Output change (YoY %) for key agri commodities in the Asia Pacific region during the last five moderate to strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Wheat	8%	-7%	5%	-3%	-2%
Corn	-15%	4%	-2%	5%	3%
Rice	2%	-6%	-2%	-1%	1%
Sugar	-3%	14%	4%	-9%	-13%
Palm oil	-5%	10%	4%	-6%	-1%

Source: USDA, ING Research

Meanwhile, APAC sugar production consistently sees declines during strong El Niño events, with declines led by India and Thailand. Moreover, the impact on supply is not confined to the El Niño period itself. Because sugar cane is a perennial crop, production can remain under pressure in the following year as well.

Rice, sugar, wheat, aquaculture and beef all exposed in APAC



Country	Product	Description
Australia	Wheat, sugar, beef, dairy	Prolonged drought can reduce crop yields and pasture availability. Also leading to increasing feed costs, lower milk output and pressure on livestock herds.
China	Corn, sugar	Overall impact more moderate, main concern around corn due to larger likelihood of summer droughts.
India	Rice, wheat, sugarcane	Rainfall deficits can pressure yields. Lower crop output could turn India into a net importer of certain crops.
Indonesia	Palm oil, rice	Drier conditions may affect yields, reduce availability of water for irrigation and increase wildfire risk, particularly in plantation and forest areas.
Malaysia	Palm oil	Drier weather can reduce palm oil yields and raise plantation fire risk.
Thailand	Rice, sugar, aquaculture	Lower water availability can affect crop production and freshwater aquaculture.
Vietnam	Rice, aquaculture	Increased risk of drought, in the Mekong River delta drought and saltwater intrusion could affect crops like rice and aquaculture.

The corporate response: how to prepare for yet another risk

Agri & food companies have had to manage their fair share of risks over the past few years, and climate-related risks are a recurring theme. With another major event on the horizon and knowing that APAC is more exposed, it makes sense for companies that either produce in or source from the region to go over their prep work again.

That includes at least three steps: risk assessment, risk reduction and preparation for any rapid response measures.

1. Closer monitoring of developments, combined with company-specific data, enables decision makers to identify whether any material impact is expected. This goes beyond the procurement team because other areas like logistics can also be affected. Weather disruptions can hinder logistics within the region as well as major trade routes to the US, where we already see some restriction of [capacity in the Panama Canal](#).
2. If there is a material impact, companies can take additional measures to reduce risks. This could be through physical measures, including improved irrigation, additional water or feed storage and measures to reduce risks of forest fires. Taking financial measures can also help traders manage risk, for example by focusing on their hedging strategies, maintaining adequate liquidity, and protecting profitability.
3. Another way to reduce risk is by increasing operational flexibility. Capacity utilisation in food processing could be affected when farmers make different planting decisions or when harvests are lower or delayed. More substitution of certain inputs might be required. Coming back to our fishmeal example, the jump in fishmeal and fish oil prices means that feed companies have an incentive to use alternatives, including soymeal and algae in their feed mix. The companies that succeed in doing so will have a cost advantage.
4. Physical or regulatory disruptions could occur later this year. Export restrictions from individual Asian countries on certain crops to shield domestic supply are one example.

Designing a dashboard to better assess risks

So, if you're a decision maker in the food industry and want to keep a close eye on how the impact of El Niño develops in APAC, what would your 'risk monitoring dashboard' look like? In essence, it will likely include data on commodity prices, crop conditions (including [AMIS crop monitor](#), [Abares crop report](#)) and weather patterns (like Indian monsoon [rainfall](#)). We argue that adding real-time data on physical indicators can further improve visibility on what happens on the ground.

Examples of such data are:

- Sea surface temperatures in [El Niño area](#)
- Anchovy landings in [Peruvian ports](#)
- Water reservoir levels (for example in India, [Thailand](#))
- Water levels in [the Mekong river at Kratie](#) in Cambodia
- Forest fires [in Indonesia](#)

Many of the larger food & agri companies will have a certain kind of monitoring in place because of previous extreme weather events or other supply disruptions, especially if they're operating more upstream. But for others, including companies operating more downstream in the food & agri value chain, the 2026/27 El Niño could be the trigger to invest more time and resources to better prepare for any hit to the supply chain. Even if the impact at a country or

commodity level turns out to be less severe than feared, good planning now will help with the next weather-related supply shock.

Short-term pain and short-term gain at the company level

We have argued that El Niño tends to have a limited impact on global agricultural supplies and food prices. That said, its effects can be significant at the regional level, with Asia-Pacific among the most vulnerable regions. The current situation highlights the wide range of risks companies must manage, from geopolitics to climate-related disruptions. While some businesses are likely to face short-term challenges, others may benefit from short-term opportunities. For companies in the APAC region, the ability to adapt will be crucial in the event that conditions deteriorate. Meanwhile, food and agriculture businesses elsewhere, particularly in the Northern Hemisphere, could benefit in the near term if production in the most affected regions falls short of expectations.

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Article | 20 July 2026

UNITED KINGDOM

How Andy Burnham could surprise UK markets

Britain's new prime minister's bold ambition is constrained by tight fiscal rules and a commitment not to raise major taxes. An understated Autumn Budget looks like the growing consensus. But don't rule out bigger plans on anything from capital investment to the fiscal rules – or, crucially, a snap general election



The prospect of Andy Burnham becoming prime minister was enough to unsettle UK markets just a few months ago. His arrival in Downing Street, by contrast, has triggered little reaction

Britain has a new prime minister

Two months ago, UK markets recoiled at the prospect of new Labour leader Andy Burnham becoming prime minister. Today, his arrival in Downing Street has been met with little more than a shrug.

Risk premium in the bond markets looks contained. Most investors I speak to don't expect him to rock the boat this year, even if there are concerns about the fiscal trajectory further ahead.

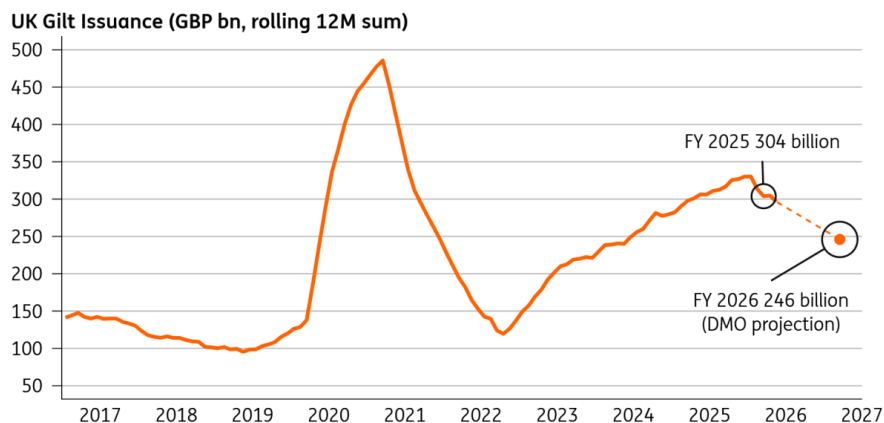
That thinking is understandable. Burnham's bold ambition towards everything from social housing investment to nationalisation is constrained by a commitment to stick to the fiscal rules and not raise the biggest taxes.

That tentatively points towards a relatively modest Autumn Budget. Expect a focus on policies that are as eye-catching as they are cheap and simple to implement.

Talk of plans to cut bus fares and lower taxes for hospitality is a case in point. As are proposals to shift a further share of policy costs from electricity bills onto general taxation, at a cost running into the low billions. That would conveniently coincide with a likely fall in the regulated energy price cap in October and would help push headline inflation lower at a time of heightened Bank of England sensitivity to price pressures.

Admittedly, those demands will run up against some thorny, unresolved issues from the Starmer era. Like the steep real-terms cuts to unprotected government departments planned for 2029, which will likely cost around £6bn in that year to reverse. Or the £4.7bn left unfunded in the recently announced Defence Investment Plan.

UK borrowing is set to fall sharply this year



Source: Macrobond, Debt Management Office, ING

But the truth is the numbers here are not huge – and can be accommodated in the fiscal rules. Burnham can thank outgoing Chancellor Rachel Reeves, whose long-planned changes to the fiscal framework are set to create roughly £16bn of additional borrowing room this autumn against the current budget rule. That should help offset some of the deterioration in the Office for Budget Responsibility's forecasts stemming from higher borrowing costs and lower migration assumptions.

Tax increases wouldn't necessarily need to be dramatic, either. Reeves considered a smorgasbord of tax hikes last autumn, many of which went unused – not least because they typically raise little cash and present major trade-offs. But together a handful of measures – covering banks to pensions – could help finance a modest fiscal easing.

In short: some extra spending, some tax rises, a modest increase in borrowing – but not enough to reverse a steep fall in gilt issuance this year. The Debt Management Office expects

to issue £246bn of bonds, down from £304bn in the last fiscal year. Britain is a rare example of an economy going through genuine fiscal tightening right now, a consequence of the ongoing freeze in tax thresholds.

This scenario isn't likely to change our call for the Bank of England to start cutting rates again in 2027.

So far, so boring. So how could Burnham surprise markets this autumn?

Big CapEx, tax reform or fiscal rule changes?

A boring budget doesn't win elections – nor does it square with Burnham's rhetoric about big change. So a much bolder budget clearly can't be ruled out. Uncertainty is high; detail on the new prime minister's budget plans is light.

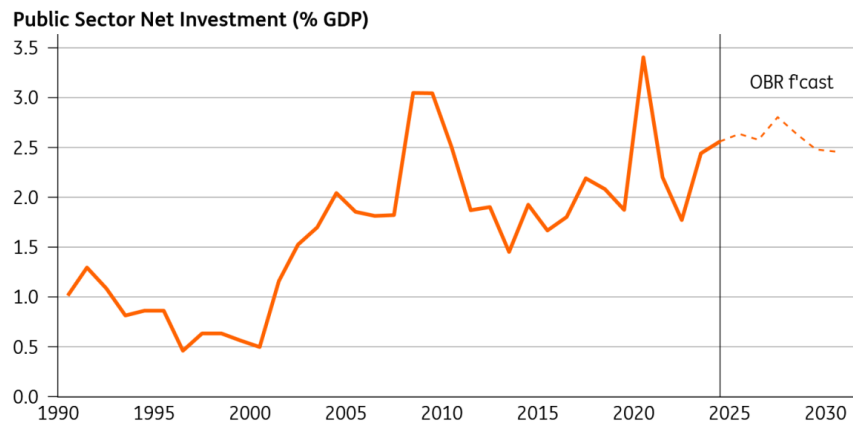
Don't forget that everyone expected Starmer's first budget to be dull. Then it ended up containing the [biggest fiscal stimulus](#) outside the pandemic since 2010.

Similar fireworks could come in five areas:

First, CapEx. Burnham wants to go big on social housing, but that's difficult under a rule dictating that net financial debt must start falling within three years. But the word “financial” is key; investment that involves an equity stake or loan would be treated more favourably, because they create financial assets as well as liabilities.

It's why we're hearing about new regional housing banks to finance social housing, or greater use of the [National Wealth Fund](#) to support infrastructure. Yet while these investment vehicles flatter the fiscal rules, they still usually require some upfront cash and therefore higher issuance – which ultimately is what markets are interested in. Thames Water and the push for greater public control will be an early test of ambition in this area.

Public investment as a share of GDP



Source: Macrobond, Office for Budget Responsibility, ING

Second, welfare reform. This is seen as totemic by many investors, even if the scope for material savings is very limited. Welfare spending accounts for a growing share of government expenditure. But Starmer's efforts to cut disability and pensioner benefits sparked huge backlash. Burnham has given little sign he wants to pick a fight over the Triple Lock, which sees the State Pension rise by the higher of inflation or earnings growth. But a surprise push here might be rewarded in lower gilt yields.

Third, tax reform. Property taxes aren't working – virtually everyone accepts that. And Burnham has indicated reform here will be a key focus. Proposals tend to focus on stamp duty – which is paid by buyers and is seen as a brake on housing transactions – and council tax, which is levied based on a property's value in 1991. This has become a key focus for proponents of a wealth tax.

Yet reform would be hugely contentious. What if you've just bought a house and risk being taxed twice? Revaluing council tax would also create huge winners and losers – but without necessarily raising any fresh cash. A lot of controversy for not much gain under the fiscal rules, with an election slowly coming into sight? It's why most expect efforts here to start with a further expansion of the so-called "mansion tax" being levied from 2028.

Then – fourth – there's tax more broadly. [Reports](#) this weekend hint that Burnham is open to raising the tax-free allowance for workers, a move that wouldn't come cheap. A 10% increase in the allowance, which has been frozen at £12,570 since 2021, would cost £11bn per year according to [Treasury calculations](#).

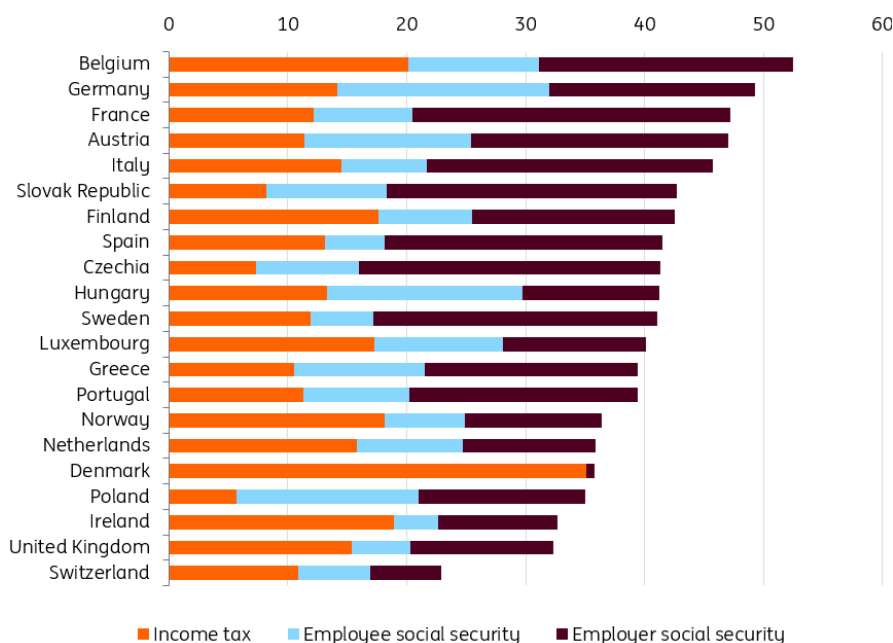
Much depends on the size of any increase and how it might be funded. Burnham might be drawn to the [Resolution Foundation's](#) proposed "tax switch": a 2ppt cut in National Insurance offset by a 2ppt rise in income tax. Because income tax has a broader base, this would raise about £6bn a year while leaving employee tax bills largely unaffected.

But even if the cost were mitigated, markets still probably wouldn't react kindly. Remember the freeze in tax thresholds is a major driver of lower borrowing this year and projected deficit reductions in the years ahead. Reversing course would cast doubt on the Treasury's commitment to those plans.

It would also shine a light on the combined income tax and National Insurance burden on the average worker, which is among the lowest in Europe according to the OECD. That's despite the UK's overall tax burden being at its highest level in decades.

Without difficult decisions on those major taxes – and set against the cacophony of fiscal challenges coupled with Labour's big ambitions – it's hard to see how the Treasury avoids relying more heavily on borrowing in the years ahead.

Tax rates as a share of labour costs for a worker on an average salary (%)



Source: OECD Taxing Wages 2026

Results based on a single individual without children earning the average wage

That brings us neatly to the final source of surprise: changes to fiscal rules. To us, this looks inevitable over the coming years, even if the widespread assumption is that it won't happen in 2026.

One option involves exempting defence spending or other investment from the fiscal rules entirely. The Treasury might fairly argue that investors would prefer that over borrowing on day-to-day spending. But more borrowing is more borrowing, however you look at it. And

markets would react accordingly.

Remember, investors don't care about the fiscal rules per se; they care about the level of issuance they imply.

But what if the surprise isn't the budget at all?

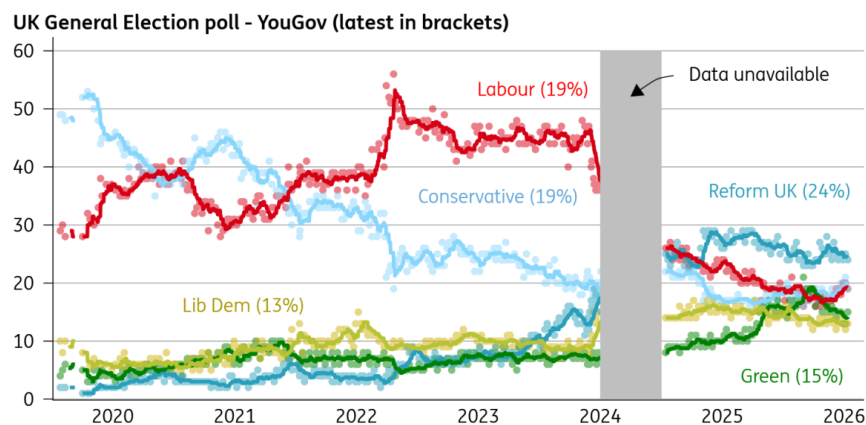
The wildcard: a snap election

A snap election is still the major wildcard. And markets probably wouldn't like it.

On paper, it looks highly unlikely. Why risk losing Labour's enormous 166-seat working majority at a time when the [polls suggest](#) the party would lose almost half its seats if an election were held tomorrow? Betting markets put the chances of a snap election at 15-20%.

Then again, Burnham won more than 50% of the vote in his new constituency of Makerfield a few weeks ago – a seat that would likely otherwise have been claimed by Nigel Farage's Reform UK. If that sentiment spreads into the national polls, then it's easier to see how Burnham might be tempted. Particularly when history tells us a new leader's popularity rarely goes up and usually goes down over time.

Reform lead the UK's opinion polls



Source: YouGov

It would fit a recent tendency of prime ministers to seek their own mandate. We saw it with Theresa May in 2017 and Boris Johnson in 2019. Yes, there are differences today (Johnson benefited from Brexit fatigue and Farage's then-Brexit Party standing aside at the election). But Burnham's team might also conclude his policy platform is only possible with a full five-year term to throw at it. It would almost certainly come at the cost of a smaller majority. But then we've seen with both Starmer and Johnson that huge landslides are no guarantee of eternal power within one's own party.

None of this comes without significant risk. May lost the Conservatives their majority in 2017 despite entering the campaign in a strong position in the polls. That's why an election is not our base case.

But the probability is perhaps higher than the betting odds imply. And a snap election probably wouldn't be received well by investors – assuming it could imply bolder borrowing plans if Labour resecured a majority, and policy paralysis if it didn't.

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Article | 14 July 2026

UNITED STATES

Easing US price pressure dampen imminent Fed hike talk

US June consumer price inflation data undershot expectations with the breadth of the softening the particularly encouraging aspect. Fed rate hike pricing has receded, but we still think it is too high. We forecast a prolonged pause from the Federal Reserve



US CPI for June was lower than expected and led by falling gasoline prices

2.6%

Annual rate of core inflation

Lower than expected

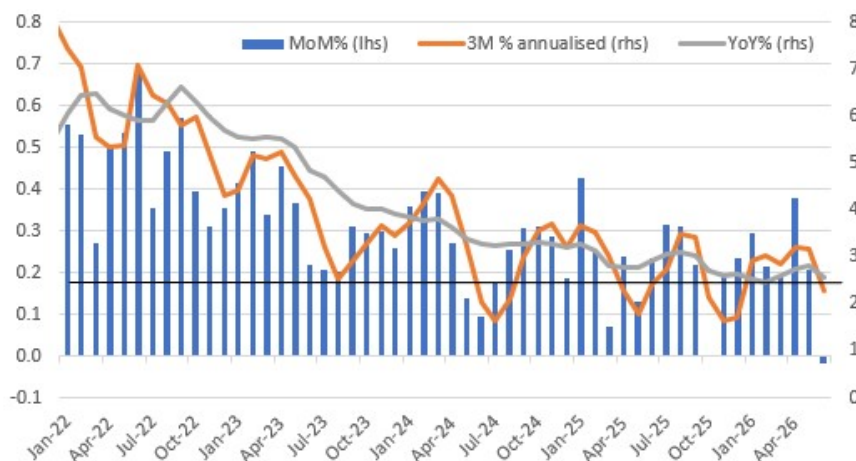
US inflation lower than anyone expected

Today's consumer price inflation report for June was considerably softer than expected. US headline prices fell -0.4% month-on-month versus consensus expectations of a -0.1% outcome, while core inflation (ex-food and energy) was flat on the month versus expectations of a 0.2% increase. To three decimal places, it was a negative print of -0.017% MoM. As a

result, the annual headline inflation rate slows to 3.5% year-on-year from 4.2% while core inflation slows to 2.6% from 2.9%.

The details show gasoline prices fell 9.7% MoM, but there were also falls in education & communication of -0.8% MoM, used cars (-0.2%), apparel (-0.6%), medical care fell 0.1% while shelter, the largest component within CPI, rose just 0.1%. New vehicle prices were flat on the month while other goods and services rose just 0.1%. The only real source of strength was recreation (+0.5%), which may reflect the World Cup to a certain extent. The encouraging aspect of this report is the breadth of the softness – it wasn't steep falls in one or two components that offset robust price increases elsewhere. The chart below shows core inflation metrics with the black line representing 0.17% MoM, which is the run rate required to bring core inflation down to 2% YoY.

US core inflation metrics (MoM%, 3M annualised and YoY%)



Source: Macrobond, ING

Kevin Warsh testimony says all the right things

Federal Reserve interest rate hike expectations had been building in recent days, reflecting the re-escalation of the Middle East conflict, the stalling of shipping through the Strait of Hormuz and the move higher in oil and natural gas prices. However, today's relatively benign inflation outcome, showing broad-based softening in price pressures, is resulting in a steep reversal with the 10Y yield down 6bp and 2Y treasury yield down 10bp on the back of the headlines. Yesterday, a July rate hike was seen as a coin toss, but right now less than 4bp of a potential 25bp hike is priced. 50bp of hikes had been expected by March next year as of today's open, but that has since dropped back to 44bp by April.

At the same time, we have had the release of the text to Fed Chair Kevin Warsh's semi-annual monetary policy testimony to Congress, set for 10:00am. It largely echoes his June FOMC press conference. The headlines say all the right things about being vigilant and being prepared to

take action to ensure inflation returns to target – making sure “the inflation surge of the last five years will be a thing of the past”. The headline news outlets are focusing on is that he and the FOMC have “no tolerance” for persistently high inflation, which really shouldn't be any new ‘news’ seeing as the primary role for the Fed is maintaining price stability. As we expected, there is very little there that can be described as ‘forward guidance’ given his disdain for it. Comments in the Q&A about today's CPI print will be the focus – he will surely welcome it, but will likely insist that a series of cool prints will be required.

Four reasons for inflation to slow into 2027

The deterioration in the Middle East situation has led shipping transits through the Strait of Hormuz to collapse after their recent revival and this is putting upward pressure on oil and natural gas prices. Nonetheless, WTI oil at \$80/bbl remains historically consistent with retail gasoline prices of around \$3.75/gallon, below the current level of \$3.85. Should talks resume, and a deal is done, we should see oil and gasoline prices head lower once more.

A second reason, and more important reason, for us to expect inflation to continue slowing is housing. As Fed Chair Kevin Warsh said at the June FOMC press conference, monetary policy doesn't appear restrictive when considering the robustness of financial markets, but it does in light of the housing market. That is hugely important, given that the component with the heaviest weighting in the CPI is shelter, at 35%. Shelter inflation is currently running at 3.3% year-on-year. With home prices barely rising 1% and rents now falling outright in a growing number of states, according to data from Zillow and Realtor.com, we expect this dominant housing component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, there are undoubtedly issues around semiconductor prices, but the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We've gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Wage inflation of 3% is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we're increasingly confident that their upward influence on inflation will rapidly fade. The Dallas Fed believes tariffs are contributing around 0.9pp to the annual rate of core PCE deflator. As this drops to zero, core inflation should quickly descend. Moreover, Federal budget balance data showed the IEEPA 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May the section 301 tariffs (the new regime) were fully offset by the initial repayments of the IEEPA tariffs. In yesterday's June data, the Treasury actually paid out \$25.5bn more in IEEPA refunds than it received under all other

tariffs. With perhaps another \$80bn of refunds still to be made, this boost to corporate cash flow should also be helpful in limiting consumer price increases.

A prolonged pause to next summer is our call

We recognise that the Fed has missed its inflation target for the past five years, and Kevin Warsh wants to put an end to this trend. Nonetheless, consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike. Meanwhile, market inflation expectations have plunged, with 10Y break-even inflation rates in line with their 25-year average, while those for 2Y inflation have dropped below 2%. To us, the more likely course of action is for the Fed to hold rates steady for a prolonged period, perhaps until the summer of next year.

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Article | 23 July 2026

RATES SPARK

Rates Spark: ECB ready to hike, just not today

The ECB should keep the policy rate at 2.25%, but we do see a September hike as likely, especially as oil prices are moving higher again. One could argue for a front-loaded hike today, but over previous years the ECB has always fully telegraphed any policy moves in advance. And with no hikes priced in by markets, deviating from this strategy seems unlikely



We expect the European Central Bank to keep the deposit rate at 2.25% today but see a September rate hike as likely

Well-anchored inflation expectations give ECB time to act

Despite another stretch higher in oil prices, markets are sticking to the view that the [European Central Bank will hold](#) the deposit rate at 2.25% at this meeting, in line with our own thinking. September is more likely to see a hike, and indeed markets are pricing in 23bp then. One could argue that front-loading another hike now makes sense. Over the past few years, however, the ECB has not acted without fully telegraphing a move in the weeks before the meeting.

With longer-term inflation expectations still well-anchored, the ECB can hold rates steady for

now. The 10Y inflation swap rose on the back of higher oil prices, but at 2.2% is still close to target. Over the past months, the central bank has communicated a hawkish stance and avoided the word “transitory” at all costs. As a result, markets are now positioned for almost three hikes over the next year. While we think this looks stretched, taking a dovish position would quickly be wiped out by more oil volatility. As such, we don’t suggest pushing against current pricing.

We cannot fully discount the tail risk of an early 25bp hike. The question is whether markets would interpret this as a hawkish policy turn or whether the move would be perceived as front-loading September’s move. We think the latter. Not enough inflation data is available to argue in favour of more near-term tightening. And given markets are already positioned very hawkish, we don’t see much room to stretch that further. As such, the upside risk to rates seems limited.

Thursday’s events and market view

The ECB’s monetary policy meeting will be the main event. In terms of data, we will get eurozone consumer confidence numbers for July, but consensus sees no improvement from still low levels. The most notable data from the US are jobless claims.

In terms of supply, the UK will hold a tender of a 37Y gilt for £0.5bn. The US will auction a new 10Y TIPS totalling \$21bn.

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THINK economic and financial analysis

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Article | 23 July 2026

FX

FX Daily: Can the ECB break the euro's low-volatility torpor?

The ECB should keep rates on hold today, but we think policymakers will focus on preserving the hawkish market pricing. We suspect the now familiar post-meeting data leak will signal a September rate hike. That may keep EUR/USD supported from a rate perspective, delaying a break lower. In Australia, blowout jobs numbers are helping the bullish AUD case



No change in rates is expected today but European Central Bank President Christine Lagarde may maintain a hawkish stance

➔ USD: Risks remain on the upside

Broad FX volatility has stayed subdued this week. Higher oil prices are not yet delivering the deterioration in global risk sentiment needed for the dollar to fully benefit from the current backdrop, and the hawkish repricing in central bank expectations in the rest of the world is capping the pass-through from rising front-end US rates to the dollar.

As a result, FX investors continue to favour high-yielding commodity currencies. Brazil's real, South Africa's rand and the Mexican peso have been among the strongest performers this week, while Norway's krone has led within G10.

That said, we remain cautious. The low-vol regime carries material risks should risk assets reach a breaking point in their tolerance for higher energy prices. That point may be nearer

than current market calm implies. In our view, the next 10 days will need to deliver some path towards a renewed ceasefire, or the dollar's short-term upside risks could increase rapidly. Overnight, Houthi militants attacked two Saudi ships in the Red Sea, adding a further potential source of supply disruption.

Today, the European Central Bank will attract most of the headlines in the macro space, while the US calendar remains rather quiet. As we expect a hawkish vibe from Frankfurt (more below), DXY may need to wait a bit longer to find its way back to 101.50.

Francesco Pesole

➔ **EUR: ECB to stay hawkish**

The ECB is widely expected to leave rates unchanged today, but as Carsten Brzeski explains [here](#), a surprise hike cannot be fully ruled out. As usual, [our cheat sheet](#) lays out four possible meeting outcomes.

Our baseline is a hawkish hold. The re-escalation in the Middle East and European gas prices rising faster than oil prices should keep hawkish voices dominant in the governing council, in our view. The aim today could be – once again – to preserve market pricing (45bp by year-end) to limit the risk of inflation expectations de-anchoring. Achieving that may well require some indication that a September hike remains in play – more likely through a familiar post-meeting media leak than directly in the press conference.

Admittedly, the hawkish bar set by the market via pricing isn't low, but we think the scenario above should be enough to limit the downside for front-end rates and, by extension, the euro. A central bank meeting would normally be a prime catalyst for EUR/USD to break out of its tight trading range, but we do not expect that to happen today. Our near-term bias remains tilted to the downside, as we believe FX markets are dangerously complacent about developments in the Gulf. Unless the newsflow becomes more constructive, we look for EUR/USD to slip towards 1.1380 in the coming days.

Francesco Pesole

➔ **AUD: Strong jobs figures offer good support**

Australia posted some very strong jobs numbers for June this morning. Employment jumped 76k (consensus was 15k), and unemployment stayed at 4.4% despite the rise in the participation rate. May's figures were also revised slightly higher, signalling a total of 120k job gains over two months.

This is a rather strong hawkish signal for the Reserve Bank of Australia. The return of high energy prices is likely causing fresh concerns on the inflation side, and this surprising tightness in the labour market raises the risk of second round effects. Markets are understandably

pricing back a rate hike by year-end, and we see some additional short-term upward potential for front-end AUD rates. The 11 August meeting is more likely to deliver a hold, but the chance of a new hawkish tilt is increasing rapidly.

We have been optimistic about a new round of AUD strength. While we cannot ignore the risk of a break in sentiment, a resurgence in FX volatility and a hit to high-beta currencies like the Australian dollar, Australia's terms of trade are improving again. Together with the currency's relatively high yield, that should provide a more lasting source of support for the Aussie dollar. We still target 0.73 for year-end for AUD/USD.

Francesco Pesole

TRY: Delaying restart of easing keeps carry attractive

The Central Bank of Turkey is likely to leave rates unchanged at 37.00% today. The policy outlook has shifted in recent days, both because of geopolitical tensions which have pushed oil prices above \$90/bbl, and a decision to gradually unwind a sliding scale tariff mechanism, which reduces the room to absorb the impact of higher oil prices, despite measured regulated price hikes. This backdrop will likely lead the central bank to be more cautious in easing liquidity conditions. While markets see some chance of the CBT restarting one-week repo auctions at 37% today, we expect funding to remain at the upper end of the corridor for an extended period. We also expect hawkish guidance, with the CBT stressing a meeting-by-meeting approach rather than opening the door to a rate-cutting cycle.

The rates market has seen only a little repricing with the re-escalation of the US-Iran conflict compared to previous months. The market is roughly pricing in a reduction in the effective rate to 38.50% today and matching the key rate from October this year. Although we do not expect a restart of auctions at today's meeting, we expect the CBT to return to rate cuts in 4Q, taking rates to 35.00% at the end of the year.

On the FX side, the situation looks more optimistic with the CBT accumulating reserves in recent weeks and at the same time essentially returning long positions in the TRY market to previous highs. The market clearly agrees with our view that despite the thinning carry, TRY remains an attractive currency, which is unlikely to change in the near future.

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Article | 23 July 2026

THE NETHERLANDS

Dutch households weather higher energy prices as income growth cushions impact

ING household data for the Dutch economy shows that average spending on fuel and energy is now higher than in 2022. But as incomes have risen substantially, the share of income spent on fuel and energy is still significantly lower than it was four years ago



The rise in energy prices has not led to a broad-based deterioration in affordability, including among the lowest-income households.

The Middle East crisis has not triggered a repeat of 2022

Since the outbreak of the Middle East conflict at the end of February, energy prices have remained elevated. This has been particularly evident in the oil market, where prices have far exceeded 2025 levels due to the closure of the Strait of Hormuz. Natural gas prices, which are also important for electricity costs, have increased as well, but have remained closer to levels seen in previous years.

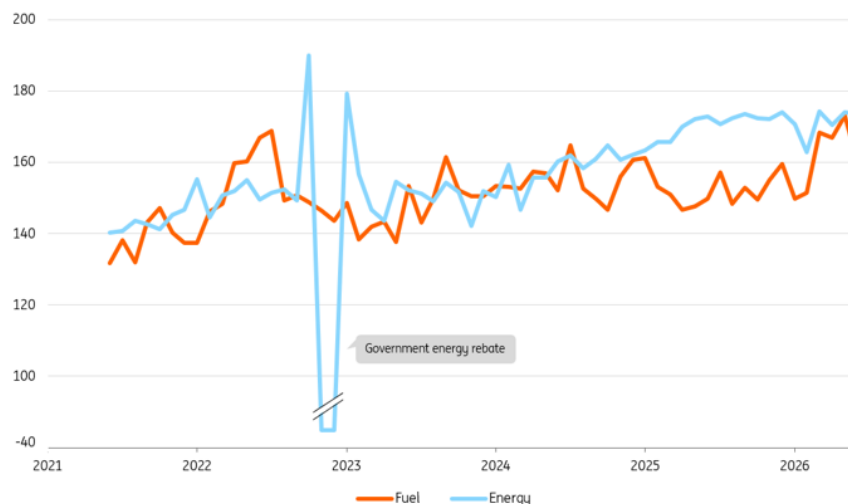
Initial concerns about a new affordability crisis were significant, but have eased as oil prices retreated from their peak levels. To assess the impact on households, we looked at new ING data on spending patterns. While the share of household income spent on fuel and energy has

increased, it remains below the levels seen during the 2022 energy crisis through June.

As chart 1 shows, the average amount spent on fuel and energy remains historically high. However, for the households in our sample, most of the increase in energy bills occurred in 2023 and 2024. The current crisis has not yet had a significant impact. This is not surprising given the delayed pass-through to household energy contracts and the relatively muted rise in gas prices. Fuel spending is still near the highs seen in 2022. This is consistent with fuel prices responding very quickly to changes in oil prices and oil prices responding more significantly to the closure of the Strait of Hormuz.

The nominal amount spent on fuel and energy is at or close to a peak

Average monthly spending per household in euro, seasonally-adjusted



Source: ING transaction data, calculations ING Research

Household energy costs have been stable, while fuel has reacted more quickly

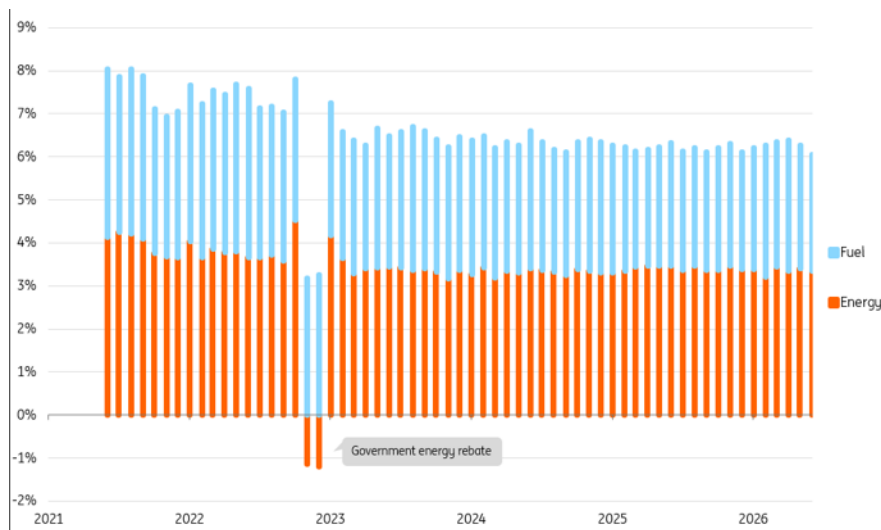
As a share of income, energy bills have remained fairly steady so far this year, accounting for around 3.4% in our sample. Fuel spending has shown a more noticeable increase, rising from 2.7% of income in December to 3.1% in April. Since then, however, that share has started to come down as oil prices have fallen from their peak and household incomes have increased.

Overall, the impact of the Middle East war on the most directly affected spending categories has therefore been muted. In June, the average amount of income spent on fuel and energy was 6.1%. That is back to where it was in December of last year and down from 6.4% in April. Income spent on energy and fuel therefore remains far from the 2022 levels of well above 7%.

Of course, there are no guarantees for the months ahead. Household energy bills adjust with a lag and could therefore still rise as a share of income. But given current natural gas prices, we are far from expecting a return to the levels seen in 2022. While oil and gas prices have moved up substantially since the Middle East war reignited, both remain significantly below the peaks seen this spring. That should temper any further increase in household energy costs in the coming months, although the global environment remains highly uncertain.

As share of household income, monthly spending on fuel and energy has not increased materially

Average monthly spending per household on energy and fuel*, as % of income, seasonally-adjusted



Source: ING transaction data, calculations ING Research.

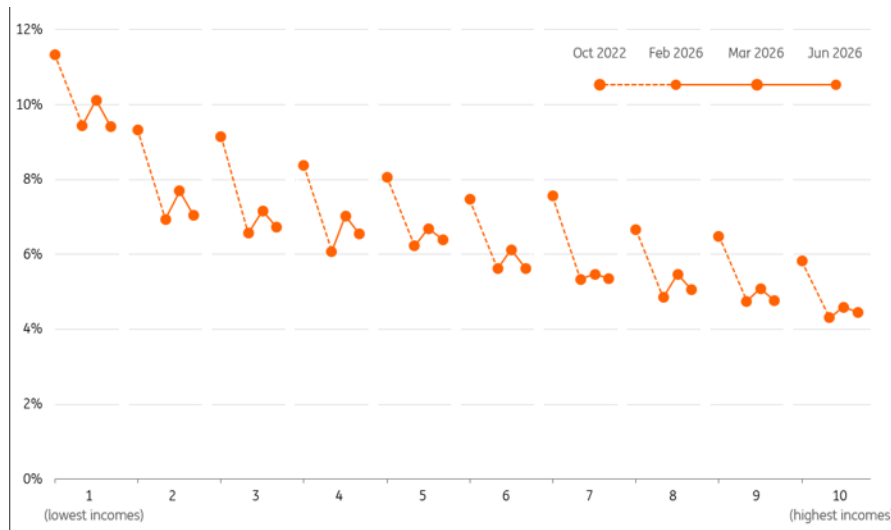
* Net payments to energy suppliers and spending at fuel stations

No broad-based deterioration across income groups

We find little evidence of a material deterioration in affordability across income groups. For the lowest 10% of incomes in our sample, fuel and energy spending remains higher in absolute terms, but the share of income devoted to these costs has changed little. Some income groups have seen more pronounced changes, mostly related to fuel spending. But overall, the data does not point to a broad-based deterioration in affordability. All income groups now spend less as part of their income on energy and fuel than in 2022 before the energy subsidies kicked in.

Little difference in spending on fuel and energy between income groups

Monthly spending on energy and fuel* as % of household income, average per income decile, seasonally-adjusted



Source: ING transaction data, calculations ING Research.

* Sum of net payments to energy suppliers and spending at fuel stations

Confidence has weakened more than actual spending

What this means for the Dutch economy is that while consumer confidence has been bouncing around significantly in response to the conflict in the Middle East and concerns about higher inflation, spending in the categories most exposed to energy prices has not changed materially as a share of household income. This is also true for the lowest-income decile in our sample. This finding is consistent with general spending patterns, which have remained resilient despite the large shock to consumer confidence.

So while the flare-up of the conflict in the Middle East has caused energy prices to spike again, aggregated transaction data shows that, on average, household finances remain quite resilient. We expect Dutch consumer spending growth to remain muted but still positive, as underlying income growth supports improved spending despite higher inflation and weak confidence.

About the data

This analysis is based on aggregated transaction data from a panel of approximately 15,000 ING customers' households aged between 20 and 80. As the transaction data is

aggregated, neither the data nor the findings can be traced back to individual customers. The sample was drawn using stratified sampling by province and age group and subsequently weighted by age and income decile to better reflect the composition of Dutch households. The analysis includes only households with income from employment, social benefits/allowances or pensions. Self-employed households are excluded. As a result, the dataset is not a complete representation of the Dutch household population, and outcomes may differ from official Statistics Netherlands (CBS) figures.

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